

Decision and Risk Analysis

Lecture 1: **Bayesian Thinking for Risk and Decision Analysis**

DAEN 427/ISEN 427/ISEN 627

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Fall 2026



Risk and Uncertainty

Often a distinction is made between **risk** and **uncertainty**:

- A choice under **risk** is made when the outcomes are random and the probabilities of outcomes are known.
- A choice under **uncertainty** is made when the outcome probabilities are unknown.